CLOSING STATEMENT

Alder Office Park | Madison, WI

Property	Alder Office Park
Settlement Date	May 7, 2019
Buyer	Beacon Hollow Investors
Seller	Midlands Property Trust
Sale Price	$14,990,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$14,990,000			
Earnest money deposit		$36,566	$36,566	
Real estate tax proration	$79,733			$79,733
Rent proration			$144,173	
Security deposits assumed	$11,083	$11,083		
Prepaid rents			$61,097	$61,097
Owner's title policy premium	$75,179			
Lender's title policy premium		$46,899	$46,899	
Escrow fee	$126,735			$126,735
Recording fees			$73,670	
Transfer tax	$132,653	$132,653		
Survey			$96,300	$96,300
Legal fees - Buyer	$57,457			
Legal fees - Seller		$104,095	$104,095	
Broker commission	$107,234			$107,234
Loan origination fee			$17,743	
Lender legal	$31,815	$31,815		
Appraisal fee			$106,371	$106,371
Environmental report	$48,987			
Property condition report		$102,275	$102,275	
Tax escrow deposit	$73,897			$73,897
Insurance escrow deposit			$61,140	
Replacement reserve deposit	$128,379	$128,379		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$14,990,000			
Legal fees - Seller		$120,314	$120,314	
Broker commission	$139,785			$139,785
Loan origination fee			$83,393	
Lender legal	$110,724	$110,724		
Appraisal fee			$14,628	$14,628
Environmental report	$44,440			
Property condition report		$44,175	$44,175	
Tax escrow deposit	$65,961			$65,961
Insurance escrow deposit			$6,859	
Replacement reserve deposit	$41,705	$41,705		
Utility deposits			$81,995	$81,995
Assumed vendor contracts credit	$5,463			
Tenant improvement credit		$77,281	$77,281	
Courier / wire fees	$73,118			$73,118
Municipal certificates			$110,758	
Purchase price	$145,893	$145,893		
Earnest money deposit			$115,938	$115,938
Real estate tax proration	$123,027			
Rent proration		$80,003	$80,003	
Security deposits assumed	$132,451			$132,451
Prepaid rents			$39,743	
Owner's title policy premium	$22,580	$22,580		
Lender's title policy premium			$39,323	$39,323
Escrow fee	$137,917			
Recording fees		$148,868	$148,868	
Transfer tax	$5,313			$5,313
Survey			$140,957	

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Income and Expense Review

Debt service coverage ratio was 6.76x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Operating expenses totaled $36,000 or approximately 47.98 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

Income and Expense Review

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 11 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period.

The building features a renovated lobby, structured parking at a ratio of 38 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross.

Financial Analysis

Debt service coverage ratio was 8.18x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Operating expenses totaled $384,000 or approximately 34.80 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $122,000, representing a 7.2% increase over the prior year. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $369,000, representing a 13.8% increase over the prior year. Operating expenses totaled $273,000 or approximately 29.27 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$14,990,000			
Tenant improvement credit		$104,607	$104,607	
Courier / wire fees	$6,712			$6,712
Municipal certificates			$15,300	
Purchase price	$9,953	$9,953		
Earnest money deposit			$33,827	$33,827
Real estate tax proration	$52,537			
Rent proration		$116,650	$116,650	
Security deposits assumed	$10,837			$10,837
Prepaid rents			$43,101	
Owner's title policy premium	$30,504	$30,504		
Lender's title policy premium			$6,633	$6,633
Escrow fee	$102,415			
Recording fees		$88,383	$88,383	
Transfer tax	$124,540			$124,540
Survey			$102,005	
Legal fees - Buyer	$39,782	$39,782		
Legal fees - Seller			$77,805	$77,805
Broker commission	$118,167			
Loan origination fee		$100,068	$100,068	
Lender legal	$129,393			$129,393
Appraisal fee			$129,966	
Environmental report	$70,156	$70,156		
Property condition report			$39,711	$39,711
Tax escrow deposit	$38,398			
Insurance escrow deposit		$76,904	$76,904	
Replacement reserve deposit	$43,653			$43,653
Utility deposits			$135,319	

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Valuation Discussion

The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Effective gross income for the trailing period was $443,000, representing a 12.8% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 6 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $94,000, representing a 10.6% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 6 per 1,000 square feet, and a tenant lounge with fitness center.

Effective gross income for the trailing period was $341,000, representing a 7.0% increase over the prior year. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 6.48% reflects the in-place income and the stabilized occupancy assumption.

Income and Expense Review

Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $352,000, representing a 8.1% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Effective gross income for the trailing period was $184,000, representing a 9.8% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 5.07x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. Operating expenses totaled $77,000 or approximately 40.04 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$14,990,000			
Recording fees		$136,854	$136,854	
Transfer tax	$97,020			$97,020
Survey			$29,361	
Legal fees - Buyer	$127,548	$127,548		
Legal fees - Seller			$58,551	$58,551
Broker commission	$133,036			
Loan origination fee		$106,892	$106,892	
Lender legal	$34,361			$34,361
Appraisal fee			$99,159	
Environmental report	$125,670	$125,670		
Property condition report			$116,862	$116,862
Tax escrow deposit	$55,482			
Insurance escrow deposit		$125,022	$125,022	
Replacement reserve deposit	$74,554			$74,554
Utility deposits			$48,144	
Assumed vendor contracts credit	$123,765	$123,765		
Tenant improvement credit			$90,501	$90,501
Courier / wire fees	$96,744			
Municipal certificates		$87,765	$87,765	
Purchase price	$85,860			$85,860
Earnest money deposit			$126,243	
Real estate tax proration	$72,013	$72,013		
Rent proration			$140,215	$140,215
Security deposits assumed	$121,262			
Prepaid rents		$28,394	$28,394	
Owner's title policy premium	$81,896			$81,896
Lender's title policy premium			$91,845	

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Operating Performance

Debt service coverage ratio was 6.76x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross.

Operating expenses totaled $364,000 or approximately 46.52 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $322,000, representing a 4.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $219,000, representing a 9.9% increase over the prior year. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $53,000, representing a 13.4% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center.

Valuation Discussion

The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.25x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $444,000, representing a 4.9% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$14,990,000			
Insurance escrow deposit		$18,698	$18,698	
Replacement reserve deposit	$61,620			$61,620
Utility deposits			$126,212	
Assumed vendor contracts credit	$101,411	$101,411		
Tenant improvement credit			$140,479	$140,479
Courier / wire fees	$121,968			
Municipal certificates		$44,817	$44,817	
Purchase price	$126,524			$126,524
Earnest money deposit			$70,443	
Real estate tax proration	$49,396	$49,396		
Rent proration			$78,336	$78,336
Security deposits assumed	$88,832			
Prepaid rents		$92,092	$92,092	
Owner's title policy premium	$61,957			$61,957
Lender's title policy premium			$46,045	
Escrow fee	$54,139	$54,139		
Recording fees			$140,106	$140,106
Transfer tax	$80,102			
Survey		$98,895	$98,895	
Legal fees - Buyer	$98,475			$98,475
Legal fees - Seller			$97,549	
Broker commission	$11,538	$11,538		
Loan origination fee			$123,918	$123,918
Lender legal	$107,383			
Appraisal fee		$101,813	$101,813	
Environmental report	$120,310			$120,310
Property condition report			$139,069	

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Operating Performance

Debt service coverage ratio was 6.87x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Effective gross income for the trailing period was $332,000, representing a 5.2% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 47 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 5.07x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $22,000, representing a 4.2% increase over the prior year. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross.

Financial Analysis

Effective gross income for the trailing period was $92,000, representing a 9.0% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.75x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 11 years and in-place rents average $31 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Debt service coverage ratio was 6.90x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $71,000, representing a 13.8% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $358,000, representing a 6.7% increase over the prior year.

Weighted average lease term remaining is 6 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 11 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 6.86x on a trailing basis against a covenant minimum of 1.20x.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Alder Office Park Owner LLC

By: Tyrone Harper Title: Managing Member Date: 05/07/2019

_____

Heron Law Group

By: Hector Mitchell Title: Authorized Signatory Date: 05/07/2019

Exhibit A - Property

Alder Office Park, 1218 Railroad Boulevard, Madison, WI 47169. Parcel containing approximately 3.46 acres, together with all improvements thereon.

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